

ChartVolt — Strategic Review: Overview & Action Steps

Group-level audit of the business plan, presentation, whitepaper and regulatory defence pack — summarised for founder response

Source Murad (Group) + AI strategic audit
Legal architecture Lambros
Horizon Next 90 days

“Did we build a trading game — or did we actually build the operating system for competitive skill?”

PRELIMINARY ANSWER: THE SECOND.
Forex-only = 6.5–7/10 (€10–30M). Skill platform = 8.5/10 (€100M+).

1 · THE REPOSITIONING (NOT A PIVOT)

- Reframe from “gamified forex platform” to **infrastructure for real-money skill competitions**, trading being the first and highest-ARPU vertical.
- Do NOT change direction or build many games now.** Trading stays the first product: launch, validate behaviour, establish real unit economics.
- The single ask: ensure **architecture, legal structure and roadmap do not lock us into being only a Forex company.**
- Positioning is commercial, not cosmetic: “pay €500 to simulate leveraged forex” reads as prop-trading/gambling to banks, Visa, Google/Meta and investors — even if legally neither. Chess is a **portability + regulatory test**, not a new business.

2 · WHAT IS ALREADY VALIDATED

- Much of a Skill Competition OS already exists** and is not trading-specific: ELO matchmaking, tournaments, leaderboards, achievements, social layer, creator/Game Master mechanics, anti-cheat, escrow, prize distribution, wallet, KYC, fraud detection, marketplace, XP/levels, white-label.
- Defence-pack architecture is correct** and must be preserved:

market performance → score → rank → fixed prize not market movement → monetary return. ESMA’s Feb 2026 economic-substance statement makes preserving the absence of leveraged exposure critical.
- Category proof — Skillz (2025):** ~\$542M GMV · ~658K MAU · ~141K paying MAU · ~400K paid tournaments/day · \$37M+ prizes/month.
- Equal warning:** ~\$104.5M revenue but ~\$70M loss (Adj. EBITDA ≈ ~\$50.5M). The market is real, but a high take rate alone is not a business — CAC, incentives, compliance and fraud can consume it.

3 · WHERE THE PLAN IS CHALLENGED

- Financial model too optimistic.** 500 users → €560K Yr-1 = €1,120/user. Competitions alone €280K at a **30% rake** on €500 average entry (4 comps/wk × 8 traders × €500 × 30%). Skillz retains only **16–20%**, part shared with developers.
- LTV €1,516 and LTV:CAC 10.5 × (Yr 1) → 39.9 × (Yr 3) are hypotheses, not unit economics.** Rebuild as:

MAU → participation → paid conversion → entries/player/month → avg entry → GMV → take rate → net revenue
- Game Master structure carries risk.** Drop the “€0 CAC for GM-referred users” claim — 2–15% participation is a variable acquisition cost. €1,000/mo “Legend” + 15% referral resembles an affiliate/gambling acquisition network. **Rename to Hosts / Captains / Tournament Creators**; base rewards on **tournament GMV share**, not pay-to-earn-from-recruits.
- Regulatory question not closed.** EU gambling law is not harmonised → no single “EU exemption”; commission a master opinion + country-by-country matrix.
- legal ≠ easy to acquire.** MCC 5816 (skilled-game wagering, incl. DFS) vs 7995 (games of chance): counsel must reconfirm, and schemes may still treat us as high-risk despite a strong opinion.
- Re-price white-label** from €6,000/mo + €10,000 setup to **platform fee + SaaS + % of competition GMV.**

4 · VERTICAL STRATEGY — THREE DELIBERATE FIRST GAMES

VERTICAL	SKILL	MONET.	REG. LOAD	CALL
Simulated Trading the wedge	8/10	10/10	High	LAUNCH
Chess regulatory + brand anchor	10/10	6/10	Low	LAUNCH
Trivia / Puzzles mass acquisition, €1–10 entry	8–10/10	6–7/10	Low–Med	CANDIDATE
Esports skill challenges	8/10	8/10	Medium	PHASE II
Fantasy sports · Backgammon	6–7/10	7–9/10	Med–High	LATER
Coding competitions	10/10	5/10	Low	B2B
Poker · Prediction markets	4–6/10	10/10	Extreme	AVOID

- Identical economics prove the thesis:** Chess €20 × 100 = €2,000 pool (€600 fee / €1,400 prizes) vs Trading €100 × 100 = €10,000 pool (€3,000 fee / €7,000 prizes) — we monetise *competitive skill*, not financial exposure.
- One account, wallet, identity and reputation — **ChartVolt Rating** per vertical (Trading 1840 · Chess 1610 · Logic 2015). Do **not** launch 30 games.

5 · THE BIGGER MODEL: B2B2C INFRASTRUCTURE & MOAT

- ChartVolt Competition SDK / API** — developers bring the game; we provide payments, KYC, wallet, escrow, matchmaking, ELO, tournaments, prize engine, fraud prevention, geo-eligibility, leaderboards, creator tools, disputes. In short: **Stripe + Skillz + Tournament OS**. Upside then stops depending on us acquiring millions of players ourselves — and white-label becomes platform strategy, not side revenue.
- The moat is not software.** It is four things: **(1) Regulatory Passport** — opinion library + jurisdiction engine; **(2) Liquidity** — tournaments that fill fast; **(3) Universal Skill Identity**; **(4) Creator Network**

players → liquidity → creators → more tournaments → developers → more games → more players

6 · REGULATORY ARCHITECTURE (LAMBROS WORKSTREAM)

- Separate the layers:** ChartVolt **Platform** (tech/SDK/identity/matchmaking/scoring/white-label) → ChartVolt **Competitions** (tournament operator) → individual **Game Modules** (Trading · Chess · Trivia).
- Change the legal question.** Not “ChartVolt is not gambling,” but: “*ChartVolt operates paid competitive skill tournaments; each game is admitted only after demonstrating predominance of skill under the applicable jurisdictional test.*”
- Every module needs its own **Skill Determination Memo, Jurisdiction Matrix, permitted countries, entry limits, age rules, marketing rules** — via a defined **Game Admission Procedure**.
- Policies to create:** regulatory classification · new-game approval · country access & geo-blocking · payments/wallet & prize-pool · KYC/AML & fraud · responsible participation · marketing · complaints & disputes · change management (legal review on any change to game mechanics or payout structure).
- Two non-negotiables:** the platform must **technically enforce** the matrix (not merely document it), and a **periodic compliance & product audit** must verify the live platform still matches the assumptions the opinions were issued on.

Target deliverable — Regulatory & Acquirer Defence Pack: Master Legal Opinion → Jurisdiction Matrix → Game Admission Files → Policies & Procedures → Technical Controls → Audit & Monitoring Evidence Shifts the story from “our lawyers believe we need no licence” to “we run a formal governance system that decides and enforces what we offer, where and under what conditions” — becoming part of the product, and an advantage when licensing the SDK.

ACTION STEPS — NEXT 90 DAYS (RUN TRADING LAUNCH AND PLATFORM THESIS IN PARALLEL)

1 Launch ChartVolt Trading beta PRODUCT / FOUNDER · NOW Controlled beta for real cohort economics : deposits, paid conversion, entry frequency, GMV/player, rake tolerance, retention, fraud, chargebacks. The priority, and the evidence base for everything else.	2 Build a Chess module in parallel ENGINEERING · 4–6 WEEKS On top of the existing competition engine. Build only the board engine + tournament scoring layer — <i>not</i> another Chess.com. Proves portability and anchors the regulatory thesis.	3 Keep core infrastructure common ARCHITECTURE · CONTINUOUS One wallet, identity, ELO architecture, tournament engine and prize engine across all verticals — the guard against locking the company into Forex-only.
4 Commission the broader legal framework LAMBROS / LEGAL · START NOW Not a Forex-only opinion: a “ ChartVolt Skill Competition Regulatory Framework ” + living EU / UK / US / GCC jurisdiction matrix , with per-game admission files and the \$6 policy set.	5 Secure written acquirer position FINANCE / PAYMENTS · BEFORE SCALE A written preliminary underwriting position from Nuvei and/or an alternative acquirer covering the specific mechanics of Trading + Chess . Do not scale-launch before this.	6 Rebuild investor story & model FOUNDER / FINANCE · WITH BETA DATA Rebuild around Competition GMV , not “number of traders” — using the \$3 funnel, a defensible take rate, and Game-Master economics restated as a real variable cost.